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Chaplain

CHAPEL TITHES AND OFFERINGS FUND MANAGEMENT

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This manual implements Department of the Air Force Policy Directive (DAFPD) 52-1, *Chaplain Corps* and executes the guidance in Department of the Air Force Instruction (DAFI) 52-105, *Chaplain Corps Resourcing*. It provides the basic responsibilities, procedures and practices for the Air Force Nonappropriated Fund Instrumentality Chapel Tithes and Offerings Fund. The manual applies to all civilian employees and uniformed members of the Regular Air Force, United States Space Force, Air Force Reserve, Air National Guard and the Civil Air Patrol (when performing Air Force assigned missions in its role as a volunteer civilian auxiliary of the Air Force). This manual requires the collection and or maintenance of information protected by the Privacy Act of 1974 authorized by Title 10 United States Code (USC), Section 9013, *Secretary of the Air Force*. The applicable system of records notice F065 AF HC A, Chaplain Fund Service Contract File is available at: **http://dpclo.defense.gov/Privacy/SORNs.aspx**. Ensure that all records created as a result of processes prescribed in this publication are maintained IAW Air Force Instruction (AFI) 33-322, *Records Management and Information Governance Program*, and disposed of IAW Air Force Records Information Management System (AFRIMS) Records Disposition Schedule (RDS). Refer recommended changes and questions about this publication to the Office of Primary Responsibility (OPR) using the AF Form 847, *Recommendation for Change of Publication*; route Air Force Form 847 from the field through appropriate functional chain of command. This publication may be supplemented at any level, but all supplements must be routed to the OPR of this publication for coordination prior to certification and approval. The authorities to waive wing/unit level requirements in this publication are identified with a Tier ("T-0, T-1, T-2, T-3") number following the compliance statement. See DAFI 33-360, *Publications and Forms Management*, for a description of the

authorities associated with the Tier numbers. Submit requests for waivers through the chain of command to the appropriate Tier waiver approval authority, or alternately, to the requestor's commander for non-tiered compliance items. Compliance with the attachments in this publication is mandatory

SUMMARY OF CHANGES

This instruction has been significantly revised and should be read in its entirety. Major changes include: transferring Chapel Tithes and Offerings Fund (CTOF) management and forms into Department of the Air Force Manual (DAFMAN) 52-107, *Chapel Tithes and Offerings Fund Management*; realignment of Senior Religious Support Team (RST) roles and responsibilities; and renaming of the Chapel Financial Working Group to the Resource Management Working Group.

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Chapter 1

GENERAL INFORMATION

1.1. Chapel Tithes and Offerings Fund (CTOF). The fund is legally established as a nonappropriated fund account. It provides supplemental support for religious practices, spiritual care and identified requirements as the religious expression of the supported population. The fund has no independent organizational existence apart from its relationship to the mission of the Chaplain Corps. The fund is not part of the Air Force's Morale Welfare and Recreation system and is specifically exempted from oversight by Department of Defense Instruction 1015.15, *Establishment, Management, and Control of Nonappropriated Fund Instrumentalities and Financial Management of Supporting Resources.* Additionally, fund allocations are specifically exempt from Public Law 83-163, *The Small Business Act*; the Federal Acquisition Regulation and the Defense Federal Acquisition Regulation Supplement (unless otherwise noted). This DAFMAN explains the proper collection, use and accounting of CTOF monies and the methods for procuring and paying for products and services with CTOF. Unless specified in this manual, the Joint Travel Regulations do not apply directly to CTOF-funded travel. However, travelers should exercise the same prudence when using CTOF funds as they would when using appropriated funds. CTOF will be centrally administered by the CTOF accounting section. **(T-1).** The CTOF accounting section is the central accounting office that records and reports all financial transactions as approved at the local level**.** All income and expenses will be earned when received and cannot be predated or postdated. **(T-1).**

1.2. Organizations authorized to request and use CTOF.

1.2.1. **The Air Force Chief of Chaplains office (AF/HC).** The Chief of Chaplains office receives funding from wing-level CTOF as requested by the Chief of Chaplains. The funds may be used to provide emergency or special grants as supplemental ministry support. The funds may also be used to engage in community outreach on behalf of the Chaplain Corps.

1.2.2. **Space Force, Functional Major Command, Direct Reporting Unit, & Field Operating Agency.** The command chaplain's office receives funding from wing-level CTOF as requested by the command chaplain. The funds may be used to provide emergency or special grants as supplemental ministry support. The funds may also be used to engage in community outreach on behalf of the Chaplain Corps.

1.2.3. **Wing or Garrison.** The wing or garrison chaplain's office receives voluntary offerings from individuals or religious communities as an act of religion. As such, the funds will be used as a supplemental ministry resource that is reflected in the commander-approved Annual Ministry Plan (AMP). **(T-1).**

1.2.4. **Units Below Wing or Garrison-Level.** Chaplains that do not have regular worship services that generate CTOF will coordinate funding through formal support agreements with the host wing or garrison chaplain's office. **(T-3).** Additionally, chaplains may request funds from functional major commands by requesting emergency or special grants if host wing or garrison is unable to adequately support the supplemental ministry outlined in the AMP.

1.2.5. **Denominational Worship Services Tithes and Offerings.** If applicable, denominational worship services that are separate from the provided chapel worship services must have their tithes and offerings fund managed through the local CTOF. **(T-3).** This requirement will be outlined in the memorandum of agreement between the Distinctive Religious Group Leader (DRGL) and the office of the wing or garrison chaplain. **(T-3).** Reference AFI 52-101, *Planning and Organizing,* **paragraph 3.4.3.**

Chapter 2

ROLES AND RESPONSIBILITIES

2.1. The Air Force Chief of Chaplains.

2.1.1. Appoints the supervisor of the CTOF accounting section as the CTOF Government Purchase Card (GPC) Agency (Organization) Program Coordinator.

2.1.2. Final approval authority to reduce and redistribute excessive CTOF carry over to 3-6 months of average monthly expenditures. Carry over will be redistributed in accordance with the Chief of Chaplains' priorities as outlined in the action plan from the Chaplain Corps Executive Council.

2.1.3. If applicable, submits CTOF budget to CTOF accounting section, no later than 1 May each year that will include the percentage of regular offerings (code 8000) to be transferred to AF/HC in support of emergency, special grants and community outreach opportunities, events and activities.

2.2. Space Force, Functional Major Command, Direct Reporting Unit, & Field Operating Agency.

2.2.1. Will present annually a carry-over reduction plan, as requested by the Chief of Chaplains, for consideration during the Chaplain Corps Executive Council. **(T-1).**

2.2.2. Will submit CTOF budget to CTOF accounting section, no later than 1 May each year that will include the percentage of regular offerings (code 8000) to be transferred to command in support of emergency or special grants and public relations activities. **(T-2).**

2.2.3. Will coordinate with higher headquarters via memorandum for record that includes appropriate justification if cost of a single CTOF program or activity exceeds $30,000. **(T-1).**

2.3. Functional Air Force and Installation Mission Support (AFIMSC/IZH).

2.3.1. Will administer, control and manage the CTOF accounting section. **(T-1).**

2.3.2. Will be the approving authority for the annual CTOF accounting section operating budget and Nonappropriated Fund (NAF) employee pay plan. **(T-1).**

2.3.3. Will fund CTOF accounting section employee training, professional development requirements and other Air Force-wide initiatives from the Chaplain Corps using NAF travel guidelines and CTOF funds. **(T-1).**

2.3.4. Will ensure electronic financial records management processes for CTOF accounting section operations are compliant with AFI 33-322 *Records Management and Information Governance Program.* **(T-1).**

2.3.5. Will ensure that all CTOF accounting section systems, programs and applications are Department of the Air Force-network compliant. **(T-1).**

2.3.6. Will periodically review and make changes to the CTOF income and expense codes list. **(T-1).**

2.4. CTOF Accounting Section.

2.4.1. Will advise the Chaplain Corps at all levels on accounting procedures, administration, control and management of CTOF and funding procedures. **(T-1).**

2.4.2. Will distribute fiscal year-specific guidance for preparing annual budgets. **(T-1).**

2.4.3. Will serve as primary liaison with the Bank for the CTOF GPC. **(T-1).** In this capacity, the accounting section will:

2.4.3.1. Manage the Air Force-wide CTOF GPC program. **(T-1).**

2.4.3.2. Process account manager and cardholder appointment letters. **(T-2).**

2.4.3.3. Review, process and make payments for each base CTOF master account. **(T-2).**

2.4.3.4. Cancel credit card accounts for individuals no longer requiring a card or for cards inactive more than 12 months. **(T-2).**

2.4.3.5. Submit CTOF accounting section annual operating budget to AFIMSC/IZHR, Resource Management Branch, Chaplain Corps Division, Air Force Installation and Mission Support Center, no later than 1 September. **(T-2).**

2.4.3.6. Conduct Air Force-wide CTOF account manager training for groups or individuals as need arises. **(T-2).**

2.4.3.7. Maintain list of current income and expense codes. **(T-2).**

2.4.3.8. Maintain fixed asset list for the Chaplain Corps. **(T-2).**

2.5. Wing Commanders, Garrison Commanders and Installation Commanders.

2.5.1. Shall consult with experts in fiscal policy, staff judge advocates and functional major command offices when questions or concerns arise regarding the appropriate allocation of CTOF monies. **(T-2).**

2.5.2. Shall serve as the approving authority for waivers to award CTOF contracts to members or relatives of persons in the supervisory chain of command who could be construed to have a conflict of interest. **(T-3)**. All requests for such waivers will contain a formal legal review by the servicing staff judge advocate's office. **(T-3).**

2.5.3. Are the approving authority in writing for non-personal service contracts that are above $150,000 for the life of the contract which includes base year plus all optional years. **(T-1).**

2.6. Contracting Unit Commanders and Directors. As necessary, provides contracting support to CTOF.

2.7. Senior Chaplain of the Organization. Wing or garrison chaplain or equivalent per AFI 52-101.

2.7.1. Will provide day-to-day oversight and management of CTOF resources. **(T-1).**

2.7.2. Will review and certify monthly, AF Form 4409, *Chapel Tithes and Offerings Fund Monthly Assessment*. **(T-2).**

2.7.3. Will ensure key duties and responsibilities are divided among different people to reduce the risk of error or fraud in accordance with Government Accountability Office 14-704G, *Standards for Internal Control in the Federal Government.* **(T-0).** This includes separating the responsibilities of authorizing transactions, processing and recording them, reviewing the transactions, handling the assets and ensuring that internal controls have verifiable audit trails. No one person will be given complete control over CTOF resources, including facilities, equipment and funds. **(T-0).**

2.7.4. Will not serve as CTOF contract officer or project officer (to include immediate family members) to avoid violation of **paragraph 2.7.3** and conflict of interests as described in Joint Ethics Regulation. **(T-0).**

2.7.5. Will support below wing-level (e.g., tenant unit) RST in their ministry planning and execution processes requirements. **(T-3).**

2.7.6. Will appoint a primary and alternate CTOF account manager (if not a contractor), CTOF GPC approving official (e.g., account manager) and GPC cardholders**. (T-3).**

2.7.7. Will serve as the approving authority in writing the annual CTOF budget, amendments and designated offerings schedule. **(T-3).**

2.7.8. Will approve all CTOF purchases of $1,000 or more prior to purchase. **(T-3).**

2.7.9. Will appoint in writing a qualified Chaplain Corps employee CTOF contracting officer or request appointment of qualified CTOF contracting officer from the Air Force Nonappropriated Fund Purchasing Office. **(T-3).**

2.7.10. Will certify the need of CTOF non-personal service contract positions and funding as defined in DAFI 52-105, *Chaplain Corps Resourcing.* **(T-2).** Approval is made, in writing (e.g., memorandum for record) and is maintained in the contract file.

2.7.11. Will establish in writing, a maximum funding limit for acceptable bids on CTOF contracts. **(T-3).** A copy of this statement in a memorandum for record will be included in the contract file. **(T-3).**

2.7.12. Will review and approve or disapprove all Chaplain Corps program fundraiser requests prior to coordination with the commander or delegate in accordance with AFI 34-223, *Private Organizations Program.* **(T-1).**

2.7.13. Will appoint in writing, a primary and alternate CTOF monthly self-inspection checklist monitor. **(T-3).**

2.8. Superintendent/Non-Commissioned Officer in Charge (NCOIC), Religious Affairs.

2.8.1. Will provide administrative and technical oversight of CTOF day-to-day operations. **(T-3).**

2.8.2. Will oversee annual training for all assigned chaplains, religious affairs airmen, civilians (GS, NAF and host nation), contractors and volunteers on CTOF processes and procedures. **(T-3).** Training documentation will be maintained in the CTOF Continuity File. **(T-3).**

2.8.3. Will coordinate with MAJCOM-FOA-DRU/HC if the cost of a single program, event or item exceeds $15,000 to ensure appropriateness of purchase. **(T-1).** MAJCOM-FOA-DRU/HC will coordinate with AF/HC if cost of a single program/event exceeds $30,000. **(T-1).**

2.8.4. Will not serve as CTOF contract officer or project officer (to include immediate family members) in order to avoid violation of **paragraph 2.7.3** and conflicts of interest. **(T-1).**

2.8.5. Will serve as the primary monitor for the CTOF monthly self-inspection checklist. Will submit AF Form 4409 no later than the 30th of each month for the previous month's transactions to the wing or garrison chaplain. Will also reconcile any found discrepancies with the Account Manager and the CTOF accounting section prior to wing or garrison chaplain review. **(T-2).**

2.9. Lead Faith Group Chaplain or Distinctive Religious Group Leader (DRGL). Faith group or denominational budgets and designated offerings schedules will be submitted to the wing or garrison Chaplain based on validated needs and input from program leaders and faith group advisory councils in accordance with the AMP. **(T-3).**

2.10. Account Manager.

2.10.1. Must be a Chaplain Corps employee: chaplain, religious affairs airman (E-5 or above), civilian (GS, NAF, or host nation), or CTOF contractor. **(T-2).** If the account manager is a contractor, ensure the requirements listed in **paragraph 2.10** are included in the performance work statement (PWS). **(T-2).**

2.10.2. Will be the primary point of contact with the CTOF accounting section. **(T-3).**

2.10.3. Will be the primary advisor on CTOF processes and procedures. **(T-3).**

2.10.4. Will assist with CTOF budget development. **(T-3**).

2.10.5. Will monitor CTOF budget execution. **(T-3).**

2.10.6. Will maintain account manager File. **(T-3).**

2.10.7. Will maintain CTOF continuity file. **(T-3).**

2.10.8. Will review financial documentation for accuracy and completeness prior to sending to the CTOF accounting section. **(T-3).**

2.10.9. Will coordinate corrective actions of any discrepancies with the CTOF accounting section as required. **(T-3).**

2.10.10. Will monitor CTOF accounting section provided accounting reports and provide them to program leaders and staff members. **(T-3).**

2.10.11. Will brief project officers on their responsibilities and limitations. **(T-3).**

2.10.12. Will conduct periodic follow up on outstanding project officer returns. **(T-3).**

2.10.13. Will safeguard CTOF financial records information and assets. **(T-2).**

2.10.14. Will prepare bank deposit bags, deposit slips and required forms for all funds received. **(T-3).**

2.10.15. Will serve as the primary CTOF GPC approving official (unless contractor). **(T-3).** **Reference paragraph 2.12.1**

2.10.16. Will submit monthly CTOF GPC master credit card statement and AF Form(s) 4358, *CTOF Government Purchase Card Transaction Log,* to CTOF accounting section by the last duty day of the month. **(T-3).**

2.10.17. Will sub-contract with a qualified substitute, in times of absences, in accordance with duties in the contract. **(T-3).**

2.10.18. Will receive orientation and applicable training from the superintendent/NCOIC Religious Affairs. **(T-3).**

2.10.19. Will attend Resource Management Working Group and work alongside the senior RST to comply with standards set in DAFI 52-105. **(T-3).**

2.11. Program Leader.

2.11.1. Will submit a program plan to the lead faith group chaplain/DRGL consisting of a detailed program budget and a calendar of events. **(T-3).**

2.11.2. Will oversee all purchase activities for their programs. Complete AF Form 4356, *CTOF Purchase Request,* obtain authorization and coordinate purchases with the account manager and the DRGL. **(T-3).**

2.11.3. May make purchases or coordinate with project officers to make purchases for programs. May serve as CTOF GPC cardholder if a chaplain, religious affairs airmen or civilian (GS, NAF, or host nation) is not available.

2.11.4. Coordinate proposed collection of donations with the lead faith group chaplain/DRGL and account manager prior to receiving funds.

2.11.5. Will review accounting reports and program plan status for their specific program to ensure proper stewardship of funds. **(T-3).**

2.12. CTOF GPC Approving Official.

2.12.1. Must be a Chaplain Corps employee: active duty chaplain, religious affairs airman (E-5 or above), or civilian (civil service, NAF, or host nation). **(T-1).**

2.12.2. Will ensure cardholders maintain secure and up-to-date CTOF GPC cardholder files. **(T-2).**

2.12.3. Will ensure cardholders receive initial and annual refresher CTOF cardholder training and cardholders sign the CTOF credit card user statement documenting training. **(T-2).**

2.12.4. Must review and sign each cardholder(s) monthly account statement and AF Form(s) 4358. **(T-2).**

2.12.4.1. Reconciles and certifies monthly CTOF GPC master account statement.

2.12.4.2. Submits monthly CTOF GPC master account statement with AF Form 4358 to the account manager for payment, prior to last day of the month.

2.12.5. Manages disputes/discrepancies.

2.12.6. Serves as the point of contact with CTOF accounting section for all CTOF GPC issues.

2.13. CTOF GPC Cardholder.

2.13.1. Must be a government employee (military member on active duty, or civilian (GS, NAF, or host nation)). **(T-1)**. A cardholder outside of the Chaplain Corps chain of command must have the individual commander's written approval prior to appointment. **(T-2).**

2.13.2. Must complete initial and recurring CTOF cardholder training and sign the CTOF credit card user statement documenting training. **(T-2).**

2.13.3. Must obtain approving official approval and account manager certification for each purchase request prior to using the CTOF GPC. **(T-3).**

2.13.4. Makes authorized CTOF purchases by completing the following:

2.13.4.1. Verifies the dollar amount is correct and ensures the purchase is tax exempt.

2.13.4.2. CTOF GPC users in overseas locations will consult with the contracting GPC office to coordinate purchases with non-US businesses. **(T-1).**

2.13.4.3. Records CTOF GPC transactions on AF Form 4358 and file receipts accordingly.

2.13.5. Ensures CTOF GPC cardholder files are secured and up to date.

2.13.6. Reconciles monthly CTOF GPC individual account statement and submit it with the AF Form(s) 4358 and supporting documentation to the approving official for certification by the 25th of the month.

2.13.7. Will maintain CTOF GPC files. **(T-2).**

2.13.8. CTOF Cardholders will follow Department of Defense and Air Force guidance applicable to government purchase cardholders for compliance with Section 889 of 2019's National Defense Authorization Act. **(T-0).**

2.14. Project Officer.

2.14.1. Must not be a member of the senior RST, account manager, or an immediate family member of those personnel**. (T-0).**

2.14.2. Must annually receive training from the account manager on responsibilities and limitations. **(T-3).**

2.14.3. Will follow project procedures as outlined in **paragraph 3.7.2.8** **(T-3).**

2.15. CTOF Contract Monitor.

2.15.1. Must be a Chaplain Corps employee. **(T-1).** Chaplain Corps employees are chaplains, religious affairs airmen, civil service members and NAF employees. CTOF contracting officers cannot be the wing or garrison chaplain, superintendent/NCOIC of religious affairs, or below the paygrade of E-5. **(T-1).**

2.15.2. Prior to appointment, will complete Defense Acquisition University courses CLC 222, *Contracting Officer Representative Online Training* and CLM 003, *Overview of Acquisition Ethics.* **(T-1).**

2.15.3. Should administer all CTOF contracts.

2.15.4. Should advise on CTOF contracting guidance and procedures and the funding obligation requirements for the life of the awarded contract.

2.15.5. Must coordinate with the wing or garrison chaplain to establish, in writing, a maximum funding limit for acceptable CTOF contracts bids. **(T-3).** Includes a copy of this coordination statement in the contract file for the life of the awarded contract.

2.15.6. Should prepare bid documents (PWS, request for proposal, basis for award).

2.15.7. Should advertise all CTOF contract positions open for bid.

2.15.8. May seek guidance from local contracting office for interview procedures.

2.15.9. Must monitor quality of services provided and performance of contractor as identified in PWS. **NOTE:** This person has no direct supervisory authority over the contractor or control over the manner in which the contractor performs the services.

2.15.10. Will provide written notification to the contractor on all compliance deviations from the PWS requirements. Maintain written documentation in the contract file.

2.15.11. Must meet with the contractor for dispute resolutions. Maintain written dispute resolution documentation in the contract file.

2.15.12. Will certify contract services were delivered using the AF Form 4357, *CTOF Contract Monthly Statement.*

2.16. Staff Judge Advocate. Shall provide legal advice over CTOF contracting activities and will provide ethics briefings for Chaplain Corps personnel or other authorized training in compliance with the DoD 5500.07-R, *The Joint Ethics Regulation,* as requested by the wing or garrison chaplain**. (T-3).**

Chapter 3

CTOF MANAGEMENT GUIDANCE AND PROCEDURES

3.1. Authorized use of CTOF.

3.1.1. CTOF travel-related expenses. When authorized, travel-related expenses will not exceed local per-diem rates. The Joint Travel Regulation should be used as a guide to determine travel and per-diem limits. CTOF related travel may include the following:

3.1.1.1. Volunteers. CTOF may fund travel-related expenses for participants and volunteers participating in programs paid for with CTOF. Military members must be on regular leave or pass status in order to have travel-related expenses reimbursed by CTOF. **(T-3).**

3.1.1.2. CTOF non-personal service contractors. CTOF travel-related expenses required for the contractor to perform their duties (example conferences training) must be outlined in the contract and/or PWS. **(T-3).**

3.1.2. Designated offerings and donations to charitable organizations. All charitable gifts will be approved by the senior chaplain, with the advisement of the faith group advisory council. Gifts should be consistent with the purposes of the Chaplain Corps and will not appear to create a state of dependency.

3.1.2.1. Designated offerings: A designated offering is an offering received during a single week's worship service(s) as advertised prior to collection. Electronic, online offerings can span a date range approved by the senior chaplain prior to collection. These are collections taken for non-profit or other charitable organizations.

3.1.2.2. All designated offerings will be advertised prior to collection. **(T-3).** Faith group communities may give (all or a portion) designated offerings to either a single recipient or split among multiple recipients.

3.1.3. Donations. A donation is a monetary gift approved by the senior chaplain of the organization, in consultation with the Resource Management Working Group, given to a nonprofit or charitable organization in order to support an emergency or humanitarian cause (e.g., hurricane relief, wildfires).

3.1.4. Gifts. Tokens of appreciation, not to exceed $20 per person per event and no more than $50 per person per calendar year, for Chaplain Corps volunteers and assigned airmen and space professionals or dependents recognized by a Chaplain Corps member during unit engagement (e.g., first communion card, mother's/father's day, birthday, etc.). These gifts are done so in the capacity of volunteering for Chaplain Corps activities and not part of a personal or business relationship.

3.1.5. CTOF-funded honoraria or speaking fees. Honoraria are payments for services rendered nominally without charge. Chaplain Corps personnel may pay honoraria or speaking fee with CTOF for Chaplain Corps-sponsored events that are, themselves, funded with CTOF or other sources of nonappropriated funds and will not be made on a recurring basis to the same person or organization. When determining the appropriate approval levels (see below) for honoraria or speaking fees, only the cost of the honorarium or speaker fee, excluding per diem and travel expenses, will constitute the cost against which the threshold is applied. Use the Joint Travel Regulation as a guideline to determine travel and per diem limits.

3.1.6. Approval authority dollar range:

3.1.6.1. Wing or garrison chaplain $1 - $1,500

3.1.6.2. Functional major command chaplain or designee $1,501 - $2,500

3.1.6.3. Chief of Chaplains or designee $2,501 or more

3.2. Unauthorized Use of CTOF. The fund will not be used for any purpose that cannot withstand the test of public scrutiny or which could give the appearance of misuse. **(T-1).**

3.2.1. Food or gifts for Chaplain Corps employees (chaplains, religious affairs airmen, or civilians [civil service, NAF, or host nation]) and contractors regardless of branch of service or level of assignment.

3.2.2. Recurring monthly services without a valid contract. Recurring services are performed at regular intervals having a demand that can be accurately predicted on an annual basis. **EXCEPTION:** recurring monthly services for which the total cost will not exceed the micro-purchase threshold do not require a contract.

3.2.3. Chaplain Corps personnel. CTOF will not be used to fund individual or group retreats, spiritual retreats, or religious training opportunities for Chaplain Corps personnel unless the member(s) is participating in the event as an attendee of a Chaplain Corps-sponsored activity. **(T-3).**

3.2.4. Appropriated Funds Contractors. CTOF will not be used to fund travel-related expenses for appropriated fund contracts. **(T-0).**

3.2.5. Charities. CTOF will not be used to establish charities. **(T-3).**

3.2.6. CTOF-funded honoraria to pay any government employee, volunteer military, civilian (civil service, NAF, or host nation), contractor or to their immediate family members for services rendered as part of their official duties, for services rendered by a contract or for duties associated with a contract.

3.2.7. CTOF-funded honoraria to a potential contractor during the solicitation or evaluation phases of procurement.

3.2.8. Do not use honoraria to compensate volunteers for their services provided in accordance with DoDI 1100.21, *Voluntary Services in the Department of Defense.* **(T-0).**

3.2.9. CTOF will not be used to purchase universally accepted gift cards or gift certificates that may be treated as cash. **(T-3).**

3.3. Budget Development.

3.3.1. The wing or garrison chaplain will develop a budget to resource the supplemental religious expression of the AMP for each faith group, including general account funds (multiple faith groups), expecting to receive and disburse funds. **(T-3).**

3.3.2. The wing or garrison chaplain will ensure projected expenses do not exceed the projected fiscal year income and available retained earnings. **(T-3).** The CTOF accounting section will assist in determining retained earnings. **(T-3).** Use the approved chart of accounts for budgeting purposes. **(T-2).**

3.3.3. The wing or garrison chaplain should ensure budgets are managed so that no more than 3-6 months of average monthly expenditures are carried forward from one fiscal year to another **(Reference: Para 2.1.2).**

3.3.4. Account managers submit the following items, signed by the wing or garrison chaplain or equivalent, to the CTOF accounting section, no later than 1 September of each year. **(T-2).**

3.3.4.1. Approved budget for each faith group.

3.3.4.2. Designated offerings schedule memorandum.

3.3.5. Account managers will include all budget amendment memorandums signed by the wing or garrison chaplain to CTOF accounting section if AMP adjustments have been made. **(T-2).**

3.4. Disbursement Types.

3.4.1. CTOF GPC. The official credit card that cardholders use to make purchases in support of Chaplain Corps programs shall be the CTOF GPC. **(T-2).** When a CTOF GPC is able to be established for the unit (e.g., a deployed environment), no other credit, debit, or store charge cards are authorized. **(T-2)**.

3.4.2. Electronic Funds Transfer (EFT). Utilize electronic funds transfer to pay contractors, project officer advances and for reimbursements. **(T-3).** The CTOF accounting section issues EFTs directly to an individual's or vendor bank account to pay for services or supplies.

3.4.3. Check. CTOF accounting section issues check payments directly to vendors for services or supplies. Checks will be printed and mailed directly to recipients by the CTOF accounting section. **(T-3).**

3.4.4. Foreign Exchange Wire Transfers. CTOF accounting section issues electronic payments directly to an individual or vendor bank account to pay for services or supplies. This option is only available for payments to non-U.S. banks. Contact the CTOF accounting section for instruction on how to process foreign exchange transactions.

3.5. Purchase Approval.

3.5.1. Regardless of method used, the account manager must certify and approve all purchases in advance using AF Form 4356. **(T-3).** For requests requiring CTOF accounting section processing, account managers must submit the AF Form 4356 to the CTOF accounting section no later than five duty days prior to the date funds are requested. **(T-3).**

3.5.2. Requester will fill out AF Form 4356 completely and describe each purchase. **(T-3).** Include an itemized list of services or products being requested. Vague descriptions such as "miscellaneous supplies" or "food and drink" are not authorized. **(T-3).**

3.5.3. Requester will route AF Form 4356, as applicable, to the program leader, lead faith group chaplain/DRGL and to the account manager. **(T-3).**

3.5.4. Wing or garrison chaplain will approve purchases of $1,000 or more prior to obligating funds. **(T-3).**

3.5.5. Account manager must verify information, fund code to be used, certify fund availability and submit the signed AF Form 4356 to the CTOF accounting section. **(T-3).**

3.6. CTOF Payment Procedures.

3.6.1. CTOF GPC. Authorized GPC cardholders may make purchases in support of Chaplain Corps programs. The approving official must approve all purchases and the account manager must certify funds are available in advance by signing the AF Form 4356. **(T-2). See Chapter 4** for further information.

3.6.2. Prepayments. Use prepayments when funds are required prior to final receipt of goods or services (e.g., deposits). Account manager must submit a copy of the final invoice to CTOF accounting section after payment is made within 10 days of the event/project. **(T-3).**

3.6.2.1. Must submit an approved AF Form 4356 and an itemized invoice, quote or order form to the CTOF accounting section for processing. **(T-3).**

3.6.2.2. Must maintain AF Form 4356 in Section 2 of the account manager file until documents are sent to the CTOF accounting section. **(T-3).** Moves the AF Form 4356 to Section 3 of the account manager file once document is closed and no longer appears on the open documents report. **(T-3).**

3.6.3. Direct Billing. CTOF accounting section will issue a check for payment of goods and services. **(T-3).** CTOF accounting section must receive an itemized invoice prior to execution of funds. **(T-3).**

3.6.3.1. Account manager initiates order with vendor. Maintain AF Form 4356 in Section 2 of the account manager File. **(T-3).**

3.6.3.2. Once the account manager receives an itemized invoice from the vendor, submit approved AF Form 4356, itemized vendor invoice and supporting documents to the CTOF accounting section for processing. **(T-3).**

3.6.3.3. Account manager shall move AF Form 4356 with all supporting documents to Section 3 of the account manager file once the transaction has been verified on the expense reports. **(T-3).**

3.6.4. Project officer advance. Only utilize if purchasing from multiple vendors for the same activity or when the vendor does not allow direct billing. **NOTE:** Do not use project officers or GPC to make payments for services which may require reporting taxable income to the Internal Revenue Service (e.g., face painters, caterers, etc.). Payments for these services must be paid by check or electronic funds transfer from the CTOF accounting section. **(T-3).**

3.6.4.1. Account manager shall submit signed AF Form 4356 to the CTOF accounting section for processing. **(T-3).**

3.6.4.2. Project officer must complete and sign AF Form 4362, *CTOF Project Officer Report*, to account for expended funds supporting the program. **(T-3).** Project officer will return AF Form 4362, itemized receipts, any supporting documents and remaining funds or deposit slips to the account manager within 10 calendar days of the date of project or event completion. **(T-3).** The account manager will certify the AF Form 4362 for accuracy or payment and forward to CTOF accounting section. **(T-3).**

3.6.4.3. Account manager will maintain AF Forms 4356 and 4362 with itemized receipts and supporting documentation in section 2 of the account manager file. **(T-3).** Move the documents to section 3 of the account manager file after the document is closed and no longer appears on the open project officer report. **(T-3).**

3.6.4.4. Project officers who are late 30 days or more in returning reports will not be issued funds or receive reimbursements for additional projects. **(T-3).** Once all overdue reports are reconciled, the project officer may be issued funds again if remedial training on project officer responsibilities has been accomplished and documented. **(T-3).** The senior chaplain of the organization will terminate project officers with repeat violations. **(T-3).**

3.6.4.5. Individual project officers must sign the project officer appointment letter at least annually for each program or project prior to receiving funds. **(T-3).** Reference **paragraph 2.14.2**

3.6.5. Project officer reimbursements. Payments for goods or services when project officers are pre-approved to spend personal funds in support of Chaplain Corps programs.

3.6.5.1. Project officers may purchase goods or services using personal funds once the AF Form 4356 has been approved by the account manager. Account manager will maintain the AF Form 4356 in the account manager file, section 2 and will not submit AF 4356 to CTOF accounting section until the project officer has turned in an itemized description of the items purchased, receipts, invoices and other supporting documents. **(T-3).**

3.6.5.2. Account manager will submit approved AF Form 4356, itemized receipts and supporting documents to the CTOF accounting section for processing. **(T-3).**

3.6.5.3. Account manager will move the AF Form 4356 to the account manager file, section 3 once the transaction has been verified on expense reports. **(T-3).**

3.6.6. Contractor payments. Payment for services rendered by a CTOF non-personal service contract. Contractors are not paid prior to services rendered and are only paid through electronic funds transfer (EFT). **(T-2)**. Account manager will ensure the AF Form 4360, *Chapel Tithes and Offerings Fund (CTOF) Electronic Funds Transfer (EFT)* is completed and on file with the CTOF accounting section prior to completing AF Form 4357. **(T-3).**

3.6.6.1. Contractors will submit an AF Form 4357 on a monthly basis to the contracting officer representative, after all deliverables are completed. **(T-3).**

3.6.6.2. Contracting officer representative will verify the services have been rendered prior to forwarding the AF Form 4357 to the account manager who will in turn certify and submit to the CTOF accounting section. **(T-3).**

3.6.6.3. Account manager must submit the AF Form 4357 in lieu of AF Form 4356 for all contractor payments. **(T-3).**

3.6.6.4. Outside the continental United States contractor payments. Payments to non-US citizens outside the continental United States must be paid by wire transfer to their non-US bank. **(T-2).** CTOF accounting section will serve as the waiver authority when wire transfers are not possible. **(T-2).**

3.6.7. Designated offerings transmittals.

3.6.7.1. The CTOF accounting section automatically prepares designated offerings payments upon receipt of the AF Form 4359, *Chapel Tithes and Offerings Fund Deposit Reconciliation Report*. An AF Form 4356 is not required for payment to designated offering recipients identified on the annual designated offerings schedule. CTOF accounting section prints and sends designated offering payments directly to the designee.

3.6.7.2. If an unscheduled collection is taken, the account manager will submit an approved AF Form 4356 signed by the wing or garrison chaplain to initiate the designated offering. **(T-3).** CTOF accounting section prints and sends designated offering payments directly to the designee.

3.6.8. Recurring purchases. Recurring purchase approval is authorized. Recurring purchases are programmed transactions recurring at regular intervals, over the period of a fiscal year.

3.6.8.1. Account manager will submit an annual AF Form 4356 to the CTOF accounting section. **(T-2)**. The form must indicate the request is for a recurring purchase, include an annual and monthly spending limit not to exceed the line item budget and include a summation of items required. **(T-3).** If the total recurring purchase exceeds $1,000 annually, the wing or garrison chaplain's signature is required. **(T-3).** Any change to a recurring request requires a new AF Form 4356. **(T-3).**

3.6.8.2. CTOF accounting section will process recurring project officer advances each month, normally during the last two weeks of the month. **(T-2).**

3.7. Income.

3.7.1. Types of income.

3.7.1.1. Regular offerings. Offerings collected during worship services to include electronic, online offerings or donations.

3.7.1.2. Designated offerings. Offerings collected during a worship service or Chaplain Corps program for donation to a specific organization.

3.7.1.3. Organizational. Donations or collections from Chaplain Corps organization activities (e.g., fundraisers or collection of funds to offset the cost of activities).

3.7.1.4. Other or miscellaneous. Income from sources other than those named above (e.g., bank credits, interest income, individual donations).

3.7.2. Offerings, donations, collections and funds return process.

3.7.2.1. Superintendent/NCOIC religious affairs consults with local resource protection personnel for procedures for storing and transporting offerings to the banking facility. Only authorized persons are permitted access to collections. Use a lockable safe for temporary storage of funds awaiting deposit. Deposits to the bank will be made within three duty days of receipt to minimize the risk of theft or loss. **(T-2).**

3.7.2.2. At least two volunteers, trained by the Chaplain Corps staff or account manager, will count all offerings, donations and collections. **(T-3).** These individuals will be 18 years of age or older and will not be members of the same family. **(T-3).** Chaplain Corps employees [chaplains, religious affairs airmen and civilians (civil service, NAF and host nation)], their immediate family members and the contractor account manager will not participate in the counting of funds. **(T-3).** At a minimum, counters will be trained annually. **(T-3).** Training documentation will be maintained in the CTOF continuity file. **(T-3).**

3.7.2.3. Detailed procedures for safeguarding the collection and deposit of offerings and donations will be outlined in a local CTOF operating instruction or other documentation as directed by the local mission. **(T-3).**

3.7.2.4. Counters utilize local counting procedures to ensure accurate counting and documentation. Additionally, counters complete an AF Form 4365, *CTOF Donation Log* for all donations of $250 or more. Do not use the donation log when items are received in exchange for donation or payment (e.g., payment for a youth trip or baked goods, or for electronic offerings.).

3.7.2.5. Account manager shall prepare AF Form 4359 and submit it along with the processed bank deposit slips to the CTOF accounting section within three duty days of deposit for processing. **(T-2).** File the AF Form 4359 and deposit slips in the account manager file, section 4. AF Form 4356 is not required for electronic offerings.

3.7.2.6. Follow the same procedures for miscellaneous donations or group collections received in support of Chaplain Corps programs as described above.

3.7.2.7. Organizational and other or miscellaneous collections are considered income and not credited to a specific expense line.

3.7.2.8. Project Officer Returns Process.

3.7.2.8.1. Residual funds returned from project officers are not considered income and will be credited to the original expense line. **(T-3).**

3.7.2.8.2. Project officer completes and signs AF Form 4362 to account for expended funds. Project officers must return completed and signed AF Form 4362, itemized receipts, any supporting documents and remaining funds and deposit slips to the account manager within 10 calendar days of the date of project or event completion and no later than three duty days after deposit of residual funds. **(T-2).** The account manager certifies AF Form 4362 and forwards to CTOF accounting section. Do not combine project officer returns with other offering and deposit files.

3.7.2.8.3. Account manager maintains the finalized AF Forms 4356 and 4362 with itemized receipts and supporting documentation in the account manager file, section 3 until superintendent/NCOIC, religious affairs or designee completes the monthly assessment and the report no longer appears on the open document report.

3.7.2.9. Vendor return process.

3.7.2.9.1. Funds returned from vendors are not considered income and are credited to the original expense line.

3.7.2.9.2. Account manager will record returns on AF Form 4359 and submit it with processed bank deposit slip and supporting documentation to the CTOF accounting section no later than three duty days of deposit. **(T-3).** Do not combine vendor returns with other offering/deposit files.

3.7.2.9.3. Account manager maintains the AF Form 4359, processed bank deposit slips and supporting documentation in the account manager file, section 4 until superintendent/NCOIC, religious affairs or designee completes the monthly assessment.

3.8. CTOF Documentation and Disposition Instructions.

3.8.1. Disposition instructions. Ensure CTOF records are maintained and accounted for on the local electronic records management file plan in accordance with AFI 33-322. Maintain electronic records in a centrally managed location with an established continuity of operations and back-up process. **(T-3).**

3.8.2. CTOF GPC approving official file outlined in **paragraph 4.11.1**

3.8.3. CTOF government purchase card files outlined in **paragraph 4.11.2**

3.8.4. Account manager file.

3.8.4.1. Account manager maintains forms and documents in respective sections until the superintendent/NCOIC, religious affairs completes the monthly assessment.

3.8.4.2. Contents.

3.8.4.2.1. Section 1 - Current reports.

3.8.4.2.2. Section 2 - Open documents (goods/services/ordered but not received).

3.8.4.2.3. Section 3 - Closed documents (maintain for 30 days pending assessment – see disposition instructions).

3.8.4.2.4. Section 4 - Deposit reconciliation documents (maintain for 30-days pending assessment - see disposition instructions).

3.8.4.2.5. Section 5 - Miscellaneous.

3.8.5. CTOF continuity file. The CTOF continuity file must contain the following items:

3.8.5.1. Section 1 - Current AFI and operating instruction with MAJCOM-FOA-DRU coordination.

3.8.5.2. Section 2 - Appointment letters (account manager, credit cardholders, etc.).

3.8.5.3. Section 3 - Resource management working group meeting minutes (current year plus last two fiscal years).

3.8.5.4. Section 4 - Approved annual CTOF budget and any budget adjustment documents (current year plus last two fiscal years).

3.8.5.5. Section 5 - Fixed asset inventory, change memos, disposition documents.

3.8.5.6. Section 6 - AF Form 4409 and supporting documents (current year plus last two fiscal years).

3.8.5.7. Section 7 - CTOF training documentation.

3.8.5.8. Section 8 - Bank account and tax exemption files.

3.8.6. CTOF contract file. Follow procedures found in **paragraph 5.10**

3.8.7. Tax Documentation.

3.8.7.1. Donations of $250 or more, the account manager maintains the AF Form 4365 for donations of $250 or more. Forward the form to the CTOF accounting section at least monthly. The CTOF accounting section will generate donation receipts for individual recipients in January. Installations will not generate donation receipts locally. **(T-2).**

3.8.7.2. Tax reporting.

3.8.7.2.1. The CTOF accounting section generates Internal Revenue Service (IRS) Forms 1096, *Annual Summary and Transmittal of U.S. Information Returns* and 1099-MISC, *Miscellaneous Income*, for contractors and honoraria recipients in accordance with IRS guidance. **(T-0).**

3.8.7.2.2. IRS Form W-8BEN*, Certificate of Foreign Status of Beneficial Owner for United States Tax Withholding and Reporting*, or IRS Form W-9, *Request for Taxpayer Identification Number and Certification,* are required to report taxable income in accordance with IRS guidelines. **(T-0).** Use IRS Form W-8BEN for non-US citizens outside the US and receive taxable income. Use IRS Form W-9 for US citizens whether taxable income regardless of country where income is earned.

3.8.7.3. State and local sales tax.

3.8.7.3.1. Per Federal Acquisition Regulation (FAR) 29.302, *Application of State and Local Taxes to the Government*, purchases made by representatives of the federal government which include Chaplain Corps personnel, contractors and volunteers, are generally exempt from state and local sales taxes. When economically feasible, take maximum advantage of exemptions available. When needed, complete Standard Form 1094, *U.S. Tax Exemption Form* (Part 53), to establish the purchase being made is on behalf of the federal government.

3.8.7.3.2. For overseas bases, coordinate with contracting squadron & comptroller to ensure purchases take maximum advantage of exemptions available. (e.g., Value Added Tax).

3.8.7.3.3. Project officers shall take maximum advantage of all exemptions from state or local sales taxes; however, after presenting the Standard Form 1094, if the vendor does not honor the tax exemption, sales tax may be paid and reimbursed.

3.8.7.3.4. Each Chaplain Corps CTOF must obtain its own state tax exempt form. Contact local state tax assessor for instructions.

3.8.8. Internal controls.

3.8.8.1. Self-inspections. Monthly CTOF operations self-inspections will be conducted utilizing AF Form 4409. **(T-3).** Account manager maintains AF Form 4409 and supporting documents in the CTOF continuity file. **(T-2).**

3.8.8.2. Identify Self-inspections within the annual statement of assurance per AFI 65-201, *Enterprise Risk Management and Managers' Internal Control Program Procedures.*

3.8.8.3. Audits. AF/HC will request an audit of the CTOF accounting section to be conducted at least once every three years. The Air Force Audit Agency or a certified auditor will provide an independent, objective and constructive evaluation of CTOF financial, operational and compliance management. The auditor will provide the findings to CTOF accounting section and AF/HC. **(T-1**).

3.8.9. Fixed assets.

3.8.9.1. Fixed assets are defined as equipment, furniture, material, or ecclesiastical items with a cost of $1,000 or more, purchased by or donated to the CTOF. Maintain fixed assets on a CTOF fixed asset report in accordance with **Attachment 2.**

3.8.9.1.1. Fixed asset cost is determined only by the purchase value of the item(s). Do not include shipping, installation or other such costs in the value of the item(s).

3.8.9.1.2. Procurement of electronic devices that have the capability of connecting to the Air Force network will ensure compliance according to communication squadron guidelines. **(T-1).**

3.8.9.2. Methods of Purchase. Purchase of fixed assets require the use of specific accounting codes. Contact the CTOF accounting section for guidance/usage.

3.8.9.2.1. Purchase directly from vendor.

3.8.9.2.2. Purchase by CTOF government purchase card.

3.8.9.2.3. Purchase through project officer. This method should only be used as a last resort when the above two items cannot be accomplished. When using a project officer, do not combine with other projects. Exact purchase price, make, model, size, installation and shipping costs, etc., should be known prior to advancing funds to project officer.

3.8.9.2.4. Items with a unit cost that exceeds the micro-purchase threshold identified in AFMAN 64-118, *Air Force Nonappropriated Fund (NAF) Purchase Card Program* should have three written bids/estimates from vendors. The vendor with the lowest purchase price is recommended to be used. Consider costs of shipping, installation, etc., when determining the lowest price.

3.8.9.3. Regardless of method of purchase, the following items must be scanned and sent to the CTOF accounting section when fixed asset items are purchased. Do not engrave/mark a fixed asset until the CTOF accounting section provides an equipment number.

3.8.9.3.1. Model number, serial number, description, quantity, year, faith group, depreciation code, estimated life and the location of the item.

3.8.9.3.2. Approved AF Form 4356.

3.8.9.3.3. Invoice/receipt showing purchase price, vendor name and address, date of purchase, etc.

3.8.9.3.4. List of bids received, if applicable.

3.8.9.3.5. Copy of warranty information, if applicable.

3.8.9.3.6. Copy of owner's manual, if applicable (optional).

3.8.9.3.7. Digital photo of item (optional).

3.8.9.4. Once the fixed asset item is entered into the database by the CTOF accounting section, engrave/mark the fixed-asset item with the equipment number assigned by the CTOF accounting section. If an item cannot be marked, notify the CTOF accounting section so the database can be annotated.

3.8.10. Fixed Asset Inventories.

3.8.10.1. The CTOF accounting section will send inventory lists to bases in June to complete an annual inventory of fixed assets.

3.8.10.2. An inventory will also be conducted when account manager appointment changes. **(T-3).** Incoming and outgoing account managers should inventory items together. If an overlap does not occur, an inventory is required prior to departure of outgoing account manager. **(T-3).** The incoming account manager will conduct an inventory after assuming duties. **(T-3).**

3.8.10.3. After completing an inventory, the account manager and the wing or garrison chaplain or superintendent/NCOIC, religious affairs certify the CTOF fixed asset report.

3.8.10.4. Scan and send signed CTOF fixed asset report to CTOF accounting section no later than 1 September each year.

3.8.10.5. Items will not be removed from the inventory, regardless of estimated book value, until the item is disposed. **(T-3).**

3.8.11. Fixed asset depreciation.

3.8.11.1. The CTOF accounting section will post depreciation amounts for each item, as applicable, annually at the end of the fiscal year. **(T-3).** Items will be depreciated in accordance with the IRS depreciation schedule as outlined in IRS Publication 946, *How to Depreciate Property*.

3.8.11.2. Ecclesiastical altar appointments and vestments do not depreciate.

3.8.12. Fixed asset disposition.

3.8.12.1. Consecrated articles or items having distinctive religious markings. Dispose of items according to the ecclesiastical requirements of the faith group for which they were purchased. These fixed assets will not be sold for token value or donated, except when approved by functional major command in accordance with DAFI 52-105. **(T-1).**

3.8.12.2. CTOF fixed assets will not be transferred (moved) with a chaplain or religious affairs airmen upon permanent change of station. **(T-3).**

3.8.12.3. If possible, fixed assets may be redistributed to other installation Chaplain Corps teams for use at their location. If redistributed, coordinate with the CTOF accounting section to transfer the item.

3.8.12.4. If fixed assets are not redistributed to other installation Chaplain Corps teams, or the wing or garrison chaplain declares the assets excess, unserviceable or beyond repair, then the assets may be disposed in one of the following ways:

3.8.12.4.1. Disposal/Turn-In. When fixed assets are no longer serviceable or cannot be sold, they fall under AFMAN 34-201, *Use of Nonappropriated Funds* guidance.

3.8.12.4.2. Donation. Donate the item to a local charity. Obtain a receipt from the organization showing receipt of the item.

3.8.12.4.3. Sale by sealed bid.

3.8.12.4.3.1. Advertise availability utilizing local media (e.g., base newspaper, social media, worship bulletins, etc.) as determined/approved by the wing or garrison chaplain. Advertising should be open for at least two weeks.

3.8.12.4.3.2. Collect sealed bids and keep them secure for the duration of the bid period. Do not open the sealed bid.

3.8.12.4.3.3. Bid openings are open to the public, held in a location readily accessible to the public. Award sale of the item to the highest bidder. If the highest bidder does not claim/purchase the item within five duty days, contact the next highest bidder.

3.8.12.4.3.4. Once payment is received, deposit the funds within three duty days of receipt and process. Send the AF Form 4359, certified deposit slip and letter/receipt from the bidder acknowledging receipt of the fixed asset to the CTOF accounting section. **NOTE:** Sale of fixed assets requires the use of specific income codes. Contact the CTOF accounting section for instructions.

3.8.12.5. Lost, stolen or damaged items.

3.8.12.5.1. Contact the installation report of survey office for instructions on how to investigate the lost fixed-asset item.

3.8.12.5.2. After conclusion of the investigation, send a copy of the completed investigation report, along with security forces report, if applicable and other supporting documentation to the CTOF accounting section.

3.8.12.6. Regardless of method used to redistribute or dispose of fixed assets, scan and send supporting documentation showing actions taken to the CTOF accounting section within three days of disposition action. Include the CTOF fixed asset item number with the documentation.

Chapter 4

CTOF GPC PROGRAM

4.1. General Information. The General Services Administration Federal Supply Service awarded a single schedule contract for government-wide commercial credit card service. The contractor (hereinafter referred to as the Bank) provides commercial purchase cards and associated services to the Department of the Air Force Chaplain Corps agency or organization components. The Bank provides commercial CTOF GPC and associated services to military members and federal civilian employees to make official purchases. The card is used to pay for official Chaplain Corps expenses in accordance with guidance set forth in this manual. AFI 64-117, *Government Purchase Card Program,* will be used for reference only.

4.2. General Policies and Procedures. AFMAN 64-118 directs guidance of general policies and procedures to include training, approving officials appointment, account set-up, cancellation of GPC accounts, lost or stolen cards and making GPC purchases.

4.3. GPC Purchases.

4.3.1. The CTOF GPC is used to make only authorized CTOF purchases. Local store charge cards, gift cards and debit cards are not authorized.

4.3.2. Limits.

4.3.2.1. CTOF GPC is subject to a single purchase limit, a monthly cardholder limit and an approving official 30-day limit (which encompasses all of the cardholders 30-day limits assigned for any billing cycle). The CTOF accounting section initiates the CTOF GPC account via the Bank's automated system subject to the limits requested by the cardholder's organization.

4.3.2.2. Splitting purchases with GPC to avoid purchase limits is prohibited. **(T-1).** A split purchase occurs when a cardholder knowingly splits a requirement into multiple transactions in order to circumvent their authorized dollar thresholds in order to use the GPC. When a known requirement exceeds the micro-purchase limit, it must be procured by check, electronic funds transfer or by requesting a single-purchase waiver from the CTOF accounting section. **(T-2).**

4.3.2.3. To obtain a single-purchase waiver:

4.3.2.3.1. The wing or garrison chaplain must sign a letter requesting a waiver. **(T-2).** In the letter, include the program you are funding, justification why the payment cannot be made by check or electronic funds transfer, the cardholder's name and last four of his/her GPC and date purchase is expected to be made.

4.3.2.3.2. Attach a copy of the approved AF Form 4356 and supporting documentation showing how the total purchase was calculated (e.g., copy of a contract, order form, etc.).

4.3.2.3.3. Submit waiver request at least three duty days prior to anticipated purchase date.

4.3.3. Cardholders and users. Chaplain Corps employees (active duty chaplains and religious affairs airmen and civilians (civil service, NAF and host nation)) are the only authorized users of the CTOF GPC. Address the following requirements in the appointment letter:

4.3.3.1. The ratio of total cardholders to approving official will be no more than 7 to 1. **(T-2).**

4.3.3.2. Monthly cardholder and single-purchase limits. The monthly cardholder limit is the total dollar value of the cardholder's CTOF GPC purchases allowed for any given monthly billing cycle. The monthly cardholder limit should be set in increments of $100. The single purchase limit on the card must not exceed the micro-purchase threshold. **(T-3).**

4.3.4. Authorized use of CTOF GPC can be found in DAFI 52-105, Attachment 2.

4.3.5. Unauthorized use of CTOF GPC.

4.3.5.1. Cash advances, money orders, traveler checks and gift cards/certificates are prohibited. **(T-1).**

4.3.5.2. Official government travel-related purchases. Rental/lease of motor vehicles associated with temporary duty travel or temporary duty supported by travel orders (purchase of airline, bus, or train tickets); purchase of meals, drinks, lodging, or other travel or costs associated with government official travel.

4.3.5.3. Rental or lease of land or buildings. **EXCEPTION:** Cardholders may use CTOF GPC to pay for a room and room set-up fee for Chaplain Corps functions.

4.3.5.4. Purchase of hazardous or dangerous items such as explosives, munitions, toxins and firearms or firearm-related items.

4.3.5.5. Purchase of classified items.

4.3.5.6. Purchase of construction/utility services.

4.3.5.7. Civil engineer materials and real property (installed equipment).

4.3.5.8. Purchase of alcohol.

4.3.5.9. The use of CTOF GPC for personal purchases is prohibited. **(T-0).**

4.3.6. The cardholder is an individual to whom the CTOF GPC is issued and delegated procurement authority. The cardholder CTOF GPC, bears the name of the individual and is used exclusively for the fund for which it is issued.

4.3.6.1. Before sending the appointment letter to the CTOF accounting section, the CTOF GPC approving official, ensures each prospective cardholder receives training.

4.3.6.2. Once the CTOF GPC is issued, cardholders are placed in a position of "public trust" requiring they maintain the highest ethical standards when using the card.

4.3.6.3. It is imperative each cardholder use the CTOF GPC to conduct official CTOF business and strictly adhere to CTOF GPC program limitations established by the Bank and applicable internal controls.

4.4. CTOF GPC Program Accounts.

4.4.1. The wing or garrison chaplain appoints CTOF GPC approving officials using DD Form 577, *Appointment/Termination Record- Authorized Signature*. Complete the bottom section of the DD Form 577 at termination of approving official duties.

4.4.2. Prepare an appointment letter with designated cardholders and spending limits. Contact the CTOF accounting section for a template of a CTOF GPC appointment letter.

4.4.3. CTOF accounting section. The approving official sends authorization changes to the CTOF accounting section who coordinates all cardholder spending limits and subsequent changes with the Bank. Set monetary limits and daily purchase limits on cards to avoid fraud, waste and abuse.

4.4.4. Receipt of GPC. The Bank mails a CTOF GPC to the cardholder after receiving cardholder's account set-up information. When the cardholder receives the CTOF GPC, he/she should immediately activate the card.

4.4.5. Training. All persons associated with the CTOF GPC Program must complete training before cards are ordered. **(T-3).** Contact the CTOF accounting section for training requirements and frequency of refresher training. **NOTE:** If an approving official or cardholder received GPC training through the local GPC office, it satisfies the training requirements for CTOF

4.4.6. Sales Tax. Payment of sales tax with GPC is prohibited. **(T-1).** Refer to AFMAN 64-118 for exceptions. Always notify vendor that the purchase is tax exempt.

4.4.7. Card Fees. Ensure purchase card fees paid by the merchant are not added to the price of the purchased items.

4.4.8. Shipping. Confirms the vendor agrees to charge the purchase card when the shipment is made so receipt of goods can be certified on the monthly statement of account from the Bank.

4.4.9. Log all CTOF GPC purchases on AF Form 4358.

4.5. Billing Cycle. The time period, usually 30 days, in which the Bank posts all gained merchant charges or credits to cardholder accounts. The billing cycle period for CTOF is from the 20th of each month through the 19th of the following month.

4.6. Budget Considerations. The CTOF GPC is subject to a single-purchase limit, monthly cardholder limit and budgeted monthly limit. The approving official and account manager should closely monitor monthly individual activity (program) spending limits to ensure the activity does not exceed budgeted expenditures.

4.7. Lost or Stolen CTOF GPCs. Cardholders immediately notify the CTOF GPC approving official, the Bank and account manager upon discovering their CTOF GPC has been lost or stolen to avoid CTOF liability.

4.8. CTOF GPC Purchases (Cardholder).

4.8.1. Submits an AF Form 4356 to the account manager and approving official for approval.

4.8.2. Maintains AF Form 4356, itemized receipts and supporting documentation in the cardholder's CTOF GPC File.

4.9. CTOF GPC Reconciliation Process, Individual Cardholder Statement.

4.9.1. Accesses the monthly statement online and prints it out not later than the 25th of the month.

4.9.2. Reconciles transactions by matching statement charges with the AF Form 4356 and AF Form 4358 and itemized purchases receipts.

4.9.3. Signs the individual statement indicating approval.

4.9.4. Files the monthly cardholder statement, AF Form 4356, AF Form 4358, itemized receipts and supporting documentation in the cardholder's CTOF GPC File.

4.9.5. Forwards a copy of the completed AF Form 4358 to the approving official not later than the 25th of each month.

4.10. CTOF Credit Card Reconciliation Process, Master Account Statement. The approving official:

4.10.1. Accesses the monthly master account statement online and prints it out no later than the 25th of each month.

4.10.2. Reviews individual cardholder's AF Form 4358 and matches transactions with the master account statement.

4.10.3. Signs the master account statement indicating approval.

4.10.4. Signs each individual cardholder's AF Form 4358 and forwards with the master account statement to the account manager for processing through the CTOF accounting section no later than the last business day of the month.

4.10.5. Files a copy of the master account statement electronically in the CTOF GPC approving official file.

4.11. CTOF GPC Documentation and Disposition Instructions.

4.11.1. CTOF GPC approving official file.

4.11.1.1. Disposition instructions. Use electronic filing and maintain by fiscal year. Maintain the master account GPC statement, certified by the approving official, with supporting certified AF Form 4358s sent to CTOF accounting section for payment. After fiscal year closeout, properly maintain files according to records management requirements.

4.11.1.2. Contents. Approving officials ensure the CTOF GPC approving official file contains the following items:

4.11.1.2.1. Section 1 - Approving official appointment letter and training documentation.

4.11.1.2.2. Section 2 - Monthly copy of the master GPC statement, certified by approving official, with supporting certified AF Forms 4358 sent to CTOF accounting section for payment.

4.11.2. CTOF Government Purchase Card Files.

4.11.2.1. Disposition Instructions. Use electronic filing for individual credit card files. Maintain each transaction (AF Form 4356, receipts and support documentation) as a single PDF with a file name to include vendor name, transaction, date and purchase amount. After fiscal year closeout, properly maintain files according to records management requirements.

4.11.2.2. Contents. CTOF credit card files contain the following items:

4.11.2.2.1. Section 1 – Credit card user statement and other training documentation.

4.11.2.2.2. Section 2 – Current month's AF Form 4356, receipts and AF Form 4358.

4.11.2.2.3. Section 3 – Monthly or quarterly folders containing AF Form 4356, receipts, approved AF Form 4358 and signed cardholder monthly statements.

4.12. Terminating Accounts. The approving official is responsible for terminating accounts upon reassignment, separation, or retirement of cardholders and destroying all purchase cards. The approving official sends a new CTOF GPC appointment letter, approved by the wing or garrison chaplain, to the CTOF accounting section for processing. Terminates accounts not later than 45 days prior to departure of the cardholder to allow for all transactions to clear and to ensure the account is properly reconciled. Retain all CTOF GPC account termination documents in accordance with records management requirements.

4.13. CTOF GPC Disputes or Point of Contact. Resolve disputed purchase items between the cardholder, vendor and the Bank. In most cases, cardholders are able to resolve problems by contacting the vendor. If problems cannot be resolved with the vendor within 45 days of the charge appearing on the cardholder's statement, the cardholder should submit applicable form(s) to the Bank. The Bank allows up to 60 days to submit a dispute. For certain problems, cardholders should delay submission of form(s) to the Bank until they receive the next month's statement. Notify the CTOF accounting section when purchases, credits and billing errors with the Bank are identified.

4.14. CTOF Government Purchase Card Violations.

4.14.1. Resolve violation of CTOF GPC procedures in accordance with AFMAN 64-118.

4.14.2. Conducting robust oversight of funds is one of the cornerstones of a strong, viable Chaplain Corps program. Document all CTOF GPC violations during the monthly assessment process. Complete cardholder account reviews monthly. Use CTOF GPC statements and itemized vendor receipts to identify potentially fraudulent or inappropriate transactions.

4.14.3. Suspend accounts not paid in full by the 10th calendar day of the month until paid. Purchase card accounts not properly reviewed and reconciled within 60 days are automatically suspended in accordance with Department of Defense policy.

4.14.4. Immediately report a cardholder to the wing or garrison chaplain who violates the trust invested in him/her and commits fraud, waste and abuse using the CTOF GPC. The wing or garrison chaplain consults with the staff judge advocate for appropriate action in accordance with the Uniform Code of Military Justice or civilian disciplinary rules. Repeated violations of CTOF GPC procedures by an individual cardholder or approving official shall result in immediate termination of CTOF GPC privileges.

Chapter 5

CTOF CONTRACTS

5.1. General Information. CTOF non-personal service contracts are used to supplement support to Chaplain Corps programs.

5.2. Funding Guidance. Use CTOF non-personal service contracts to satisfy supplemental support to religious faith communities and, as such, are exempt from manpower review. Reference Attachment 2 in DAFI 52-105.

5.3. Service Contract Types. A service contract may be either a non-personal or personal contract. It can also cover services performed by either professional or nonprofessional personnel whether on an individual or organizational basis. The service contract directly engages the time and effort of a contractor whose primary purpose is to perform an identifiable task rather than to furnish an end item of supply.

5.3.1. Personal Service Contracts. The Chaplain Corps does not award personal service contracts.

5.3.2. Non-personal Service Contracts. A non-personal service contract is where the personnel rendering the services are not subject, either by the contract's terms or by the manner of its administration, to the supervision and control usually prevailing in relationships between the government and its employees.

5.4. Contractor and Contracting Officer Relationships.

5.4.1. The CTOF contracting officer has no direct supervisory authority over the contractor or control over the manner in which the contractor performs the service.

5.4.2. Contractors are not included in staff meetings, faith group advisory council meetings, or training sessions unless specified in their performance work statement (PWS). If specified, reimbursement for attendance is authorized. This limitation is to preclude an employer-employee relationship (i.e., by referring to, or including them as “staff members,” the appearance of an employer-employee relationship exists).

5.4.3. The contractor is responsible for the complete end product or service.

5.4.4. The contractor is not paid an hourly rate, unless specified in the PWS. The contractor is paid to perform a regular service. Therefore, neither man-hours nor compensatory time-off is authorized.

5.4.5. The CTOF contracting officer monitors and inspects the contractor's work. The CTOF contracting officer provides written notification to the contractor of all compliance deviations from the requirements of the PWS.

5.4.6. The contractor may be reasonably required to coordinate activities with the individual responsible for programs.

5.5. Preliminary CTOF Contract Procedures.

5.5.1. Wing or garrison chaplain contract determination.

5.5.1.1. The wing or garrison chaplain determines if the proposed contract and the use of CTOF is appropriate. The wing or garrison chaplain's contract determination is made in writing using a memorandum for record and maintains it in the contract file in section 10.

5.5.1.2. The wing or garrison chaplain will appoint, in writing, a CTOF contracting officer to administer the contract on behalf of the fund. **(T-2).**

5.5.1.2.1. The CTOF contracting officer should have the training and education to adequately evaluate the quality of the deliverables provided by the contract.

5.5.1.2.2. Prior to appointment, the CTOF contracting officer must complete Defense Acquisition University courses CLC 222, Contracting Officer Representative Online Training, CLM 003, Overview of acquisition ethics and training as required in AFMAN 64-302, *Nonappropriated Fund (NAF) Contracting Procedures*, Section 3.2. **(T-1).** Seek additional training from the local contracting office on topics like market research, risk balance to manpower, etc.

5.5.1.3. The wing or garrison chaplain, in consultation with the CTOF contracting officer, establishes in writing a maximum funding limit for acceptable bids. **(T-2).** The maximum funding limit is based on the life of the contract not to exceed the base year plus four option years. The CTOF contracting officer keeps this document secured until the bidding process is complete and then maintains it in the contract file in Section 9.

5.5.2. Contract document preparation. The CTOF contracting officer prepares contract documents. Templates of the documents listed can be obtained by contacting the CTOF accounting section.

5.5.2.1. Request for proposal.

5.5.2.2. Basis for award.

5.5.2.3. CTOF general provisions memorandum. For contracts with religious entities, pursuant to FAR 22.810, *Solicitation Provisions and Contract Clauses*, ensure that FAR 52.222-26, *Equal Opportunity*, clause (b) (2) is included. **(T-0).**

5.5.2.4. Performance work statement. The performance standards for monitoring and inspecting the contractor's service are based on the PWS. Carefully write the standards to minimize implications of supervision and to concentrate on specified end results as criteria, as well as professional qualifications excellence.

5.5.2.4.1. Before writing the PWS, determine whether the requirement is ecumenical, inter-faith, or faith-group specific. When hiring a contractor to perform duties of an ecumenical or inter-faith nature, clearly define ecumenical and interfaith terms in the PWS. Coordinate all PWSs with the contracting officer and with all lead faith group chaplains/DRGLs concerned. Maintain the coordination and final PWS in the contract file section 3.

5.5.2.4.2. The environment in which this contract is implemented is a religiously pluralistic and sensitive arena of numerous faith groups and denominational traditions. The contractor accomplishes the terms of the contract in compliance with the mission requirements and standards set forth and defined by the Department of the Air Force Chaplain Corps. Activities and behavior to the contrary are viewed as grounds for contract termination.

5.5.2.4.3. Prepare a PWS prior to initiating any contracting procedures. Do not include a rate of pay or reference maximum funding limits in the PWS. At a minimum, include the following in the PWS:

5.5.2.4.3.1. Description or scope of responsibilities.

5.5.2.4.3.2. Minimum program requirements.

5.5.2.4.3.3. Dates, times and performance location(s).

5.5.2.4.3.4. Minimum standards of education, qualification and experience.

5.5.2.4.3.5. List of organization furnished workspace, supplies and equipment.

5.5.2.4.3.6. Due date and need for bonds, insurance, or both, if applicable.

5.5.2.4.3.7. Provisions or procedures required by regulations to ensure compliance.

5.5.2.4.3.8. Procedures for subcontracting during periods of absence. All subcontractors must meet the same qualifications as the contractor and be approved as suitable by the CTOF contracting officer. **(T-3).**

5.5.2.4.3.9. Requirement for contractor background checks for positions involving contact with children below 18 years age, as directed in AFI 52-101. **(T-0).**

5.5.2.4.4. Include the following mandatory statements in the PWS:

5.5.2.4.4.1. "The CTOF contracting officer will monitor and inspect the contractor's performance. The contractor will be notified in writing of any and all noncompliance and will be given an opportunity to correct, if possible, nonconforming work. The contractor will be given an opportunity to respond in writing to any notice of noncompliance."

5.5.2.4.4.2. "The contractor is accountable for security and cleanliness of all facilities utilized in conjunction with their programs."

5.5.2.4.4.3. "The contractor will coordinate all support requirements with the CTOF contracting officer."

5.5.2.4.4.4. "Dispute clause. Any grievance by the Contractor should be resolved at the lowest level. The chain of command is as follows: CTOF contracting officer, then the wing garrison chaplain. If grievance cannot be resolved at these levels, the contractor will follow guidance in the CTOF general provisions memorandum."

5.5.2.4.4.5. As appropriate, "The contractor will, in consultation with the CTOF contracting officer, develop an annual calendar of events, CTOF budget and appropriated fund budget. This information is submitted as required by local Chaplain Corps operating procedures."

5.5.2.4.4.6. As appropriate, "Conference and training fees. Chaplain Corps-directed conferences or training, to include travel expenses, may be funded by CTOF, contingent upon availability of funds and approval by the wing or garrison chaplain."

5.5.2.4.4.7. If the fund determines options or renewals are necessary, insert the following clause in the PWS: "The fund may extend this contract for an additional 12 months by issuing written notice to the contractor within 30 days of contract expiration. The written notice does not commit the fund to an extension. If the fund exercises the option, the extended contract is considered to include this option provision and at the applicable prices set forth in the original request for proposal."

5.5.2.5. CTOF contract. The CTOF contracting officer numbers the contract to identify the base, fund, fiscal year and numeric sequence within the year (e.g., Base Protestant CTOF 24-2 or Base Catholic CTOF 24-2). Maintain this number for the life of the contract (basic period and option periods, if any).

5.5.3. Clauses and certifications. Contracts, orders and agreements funded exclusively with CTOF shall contain only those clauses and certifications required for the purpose of complying with federal law, Department of Defense requirements and protecting the interests of the CTOF. At a minimum the contract must include the CTOF general provisions memorandum. Maintain a copy of the CTOF general provisions memorandum in the contract file section 1.

5.5.4. Legal Review. Submit the proposed contract, PWS, request for proposal, basis of award and general provisions memorandum to the servicing office of the staff judge advocate for a written legal review. The proposed contract will not contain the name or the amount at this time. After obtaining a finding of procedural and legal sufficiency from the servicing office of the staff judge advocate, the contract position may be advertised. Maintain the written legal review in the contract file in section 2. At a minimum, the legal review will determine:

5.5.4.1. If CTOF contracting actions comply with this manual.

5.5.4.2. If the proposed contract ratification is legally sufficient.

5.5.4.3. If the proposed contract dispute resolution is legally supportable.

5.5.4.4. The legal sufficiency of proposed contracting actions including novation agreements and any proposed termination action.

5.6. CTOF Contract Position Advertisement. The CTOF contracting officer is responsible for all advertising of positions open for bid. Should advertise the position in the local base media (e.g., base bulletin, base newspaper, social media, airmen and family readiness center and worship bulletins) for at least two weeks. Advertising in local off-base newspapers and websites is highly encouraged. Maintain copies of all advertisements in the contract file in section 4. The advertisement will include:

5.6.1. Contract position title.

5.6.2. Basic conditions or qualifications.

5.6.3. Whether a demonstration of skills is required.

5.6.4. Where to obtain a copy of bid documents.

5.6.5. The contract officer's contact information for submitting bids.

5.6.6. Submission and demonstration due date.

5.6.7. Basis of award by which the individual is selected, i.e., lowest bid or best value. **NOTE:** Specific details on the selection process is in the basis of award document.

5.6.8. Requirement for contractor background check(s) for position(s) involving contact with children below 18 years of age, as directed by AFI 52-101. **(T-0).**

5.6.9. Any other relevant information.

5.7. Interview Procedures for CTOF Contracts. The CTOF contracting officer ensures the following actions are performed:

5.7.1. Provides each qualified bidder with the following:

5.7.1.1. Performance work statement.

5.7.1.2. Basis for award.

5.7.1.3. CTOF general provisions memorandum.

5.7.1.4. Price Sheet.

5.7.1.5. Request for Proposal.

5.7.2. Informs bidders on selection process procedures. If a bidder is disqualified because the bidder does not meet the position qualifications, this action should be based on criteria presented in the PWS.

5.7.3. Schedules and conducts interviews with bidders responding to the advertisement as applicable. If special skills are required, such as a vocalist or pianist, a demonstration of skills is warranted. The CTOF contracting officer may have a specialist attend the performance portion of the interview.

5.7.4. Requests a resume and sealed bid from each qualified bidder by a specific date and time.

5.7.5. Informs bidders of the date, time and place of bid opening.

5.7.6. Stamps each bid with the date and time upon receipt.

5.7.7. Maintains all interview documentation and score sheets in the contract file in section 7.

5.8. Bid Opening.

5.8.1. Bid openings are open to the public, held in a location readily accessible to the public and commence at the stated time. If held on base, all bidders should be afforded escort to the bid opening location. **NOTE:** If the CTOF contracting officer decides to change the time or place of the bid opening, he/she should inform all bidders of the change; however, in no case will the bid opening predate the advertised final date for bid submission.

5.8.2. Once the deadline for submission of bids arrives, do not accept further bids unless in the best interest of the Department of the Air Force mission.

5.8.3. The CTOF contracting officer convenes a three-member panel to include: the contracting officer, deputy wing or garrison chaplain or designee and one other government employee to perform the selection process as outlined in the basis for award document. An additional non-voting government employee serves as the recorder and will record the proceedings and bids in a memorandum. **(T-3).** Maintains this memorandum in the contract file.

5.8.4. The CTOF contracting officer opens and reads aloud each sealed bid as outlined in the basis for award document. Sealed bids are not opened when bidders are determined to be unqualified.

5.8.5. After the selection and recording process is complete, the recorder prepares a bid opening proceedings memorandum. Maintains the memorandum in the contract file in Section 8. At a minimum, bid opening proceedings memorandum include:

5.8.5.1. Date and time of opening.

5.8.5.2. Contract position title.

5.8.5.3. Name of each bidder and bid.

5.8.5.4. Signatures of CTOF contracting officer and recorder with the following certification: "I hereby certify that the above is an accurate list of bids accepted, opened and read at this bid opening."

5.8.5.5. Selection of recommended bidder.

5.8.5.6. Signature of wing or garrison chaplain for approval or disapproval.

5.8.6. The CTOF contracting officer presents the certified bid opening proceedings memorandum with a recommendation for contract award to the wing or garrison chaplain for approval or disapproval and briefs faith group advisory councils, as appropriate. Maintain the bid opening proceedings memorandum in the contract file. The wing or garrison chaplain's disapproval of the panel's selection must be substantiated in writing with a disapproval justification. **(T-3).** The next qualified bidder is then presented for approval.

5.8.7. After wing or garrison chaplain approval, the CTOF contracting officer should notify all bidders of the results. The notice includes the name of the successful bidder.

5.8.8. Equal low bids (lowest bid basis of award). In the event of two equally low bids, award is made through drawing by lot, limited to the tied bidders. Time permitting; the bidders involved are given an opportunity to attend the drawing. The drawing is witnessed by at least two persons. The contract file contains the names of the witnesses. Document and maintain the results of the drawing in the contract file.

5.8.9. In the event bidders exceed the maximum funding amount, take one of the following steps:

5.8.9.1. Advertise the contract position for an additional two weeks. The contracting officer contacts each *qualified* bidder in writing and explain that all bids exceeded available funding. *Do not mention dollar limits or how much they exceeded by.* In your letter, ask the bidders if they would care to re-bid for a lower amount and set a date updated bids are required.

5.8.9.2. Amend the amount specified in the funding letter to meet the lowest qualified bid. If this option is chosen, the wing or garrison chaplain amends the funding letter to the amount of the lowest qualified bid and files the letter in section 9 of the contract file.

5.8.9.3. Discard all bids and re-advertise the position: Review the PWS and edit as needed, re-advertise the bid and accept new bids.

5.8.9.4. Reconsider the need for the contract. If bids exceed the maximum allowable funding, the wing or garrison chaplain can choose not to award the contract.

5.8.9.5. Document and maintain all actions in the section 8 of the contract file.

5.8.10. When determining the award of a contract, consider the total bid (the basic one-year contract and increases for the two one-year option periods, if any) to ensure it does not exceed the maximum funding limit.

5.9. Conflict of Interest. Follow all restrictions as stated in 5 CFR 2635.502 and FAR 37.104. **(T-0).** Do not consider members or relatives of persons in the supervisory chain, or those who could be construed to have conflicts of interest (e.g., commanders, Chaplain Corps employees (chaplains, religious affairs airmen and civilians [civil service, NAF and host nation]) and their immediate family members. Commanders, in consultation with staff judge advocate may waive the restriction for CTOF contracts when advertising efforts fail to produce permissible qualified bidders. To obtain a waiver for a CTOF contract, the installation must submit copies of all advertising and a statement, signed by the wing or garrison chaplain, to the commander. **(T-3).** The statement should state, "No qualified bid(s) were received."

5.10. CTOF Contract File. Includes the following items: After the above steps are complete, scan and send the following documents to the CTOF accounting section. Once all documents are verified and filed, a contract number will be assigned and returned to the base for implementation.

5.10.1. Signed CTOF contract, renewal options and CTOF general provisions memorandum.

5.10.2. Legal review(s).

5.10.3. Statement of work.

5.10.4. Advertisements.

5.10.5. Request for proposal and price sheet.

5.10.6. Basis for award memorandum.

5.10.7. Interview documentation and score sheets.

5.10.8. Bid opening documentation to include non-selected bidders resume and request for proposal.

5.10.9. Maximum funding limit memorandum.

5.10.10. Wing or garrison chaplain's contract determination memo.

5.10.11. Any other documents or amendments pertaining to the contract as they become available.

5.11. CTOF Contract Administration.

5.11.1. Award CTOF non-personal service contracts for a one-year period, which can be extended for an additional one-year option, up to four times for a total of five years. Repeat the entire bidding and award process after the fifth year.

5.11.2. The CTOF contracting officer makes two copies of the final contract containing the name of the selected bidder and the amount of the bid. All required parties sign the contract in duplicate.

5.11.3. Provides one copy of the following to the contractor:

5.11.3.1. Signed contract.

5.11.3.2. PWS.

5.11.3.3. General provisions memorandum.

5.11.4. Maintains the CTOF contact file.

5.11.5. At the end of the first-year term, the CTOF contracting officer may renew the contract by exercising the option for a one-year term, up to a maximum period of five years for the life of the contract. Maintain signed renewal options in the contract file in section 1.

5.11.6. The CTOF contracting officer and contractor modifications to the scope of the contract (description of work, dates, times, locations, or number of services) will be in writing and signed by both parties. Modifications which increase the total amount paid or allowed for added services are permitted only if the unit cost per service remains the same. Negotiate a new contract for any change to the rate of payment.

5.11.7. Coordinate all contract modifications with the legal office.

5.11.8. File terminated and expired contracts with the final payment invoice in accordance with the records management program. At termination or expiration of a contract, scan the entire contract file and send it to the CTOF accounting section with the final AF Form 4357.

5.11.9. Send any contract amendments, modifications, termination documents, etc. to the CTOF accounting section within three days of receipt.

5.11.10. CTOF payment for contract service. Payment of CTOF non-personal service contracts is made within 30 days after performance of service. Submit an AF Form 4357 for all contractor payments. CTOF accounting section makes contractor payments by electronic fund transfer.

STEVEN A. SCHAICK
Chaplain, Major General, USAF
Chief of Chaplains

Attachment 1

GLOSSARY OF REFERENCES AND SUPPORTING INFORMATION

References

Federal Acquisition Regulation, 23 November 2020

5CFR § 2635.502, *Personal and Business Relationships*

10U.S.C. § 9013, *Secretary of the Air Force*

Public Law 83-163, *The Small Business Act,* 30 July 1953

Internal Revenue Service Publication 946*, How to Depreciate Property,* 23 March 2020

GAO-14-704G, *Standards for Internal Control in the Federal Government*, 10 September 2014

DoDI 1100.21, *Voluntary Services in the Department of Defense,* 11 March 2002

DoDI 1015.15, *Establishment, Management, and Control of Nonappropriated Fund Instrumentalities and Financial Management of Supporting Resources*, 20 March 2008

DoDM 5500.07-R, *The Joint Ethics Regulations,* 30 August 1993

*Joint Travel Regulation (***https://www.defensetravel.dod.mil/site/travelreg.cfm**)

DAFPD 52-1, *Chaplain Corps*, 5 November 2018

AFI 33-322, *Records Management and Information Governance Program*, 23 March 2020

DAFI 33-360, *Publications and Forms Management*, 7 August 2020

AFI 34-223, *Private Organizations Program*, 13 December 2018

AFI 52-101, *Planning and Organizing*, 15 July 2019

DAFI 52-105, *Chaplain Corps Resourcing,* 21 December 2020

AFI 64-117, *Government Purchase Card Program,* 22 June 2018

AFI 65-201, *Enterprise Risk Management and Managers' Internal Control Program Procedures,* 17 September 2020

AFMAN 64-118, *Air Force Nonappropriated Fund (NAF) Purchase Card Program,* 28 August 2020

AFMAN 34-201, *Use of Nonappropriated Funds,* 28 September 2018

AFMAN 64-302, *Nonappropriated Fund (NAF) Contracting Procedures*, 26 September 2019

Prescribed Forms

AF Form 4356*, Chapel Tithes and Offerings Fund (CTOF) Purchase Request*

AF Form 4357*, Chapel Tithes and Offering Fund (CTOF) Contract Monthly Statement*

AF Form 4358*, Chapel Tithes and Offerings Fund (CTOF) Government Purchase Card Transaction Log*

AF Form 4359*, Chapel Tithes and Offerings Fund (CTOF) Deposit Reconciliation Report*

AF Form 4360*, Chapel Tithes and Offerings Fund (CTOF) Electronic Funds Transfer (EFT)*

AF Form 4362*, Chapel Tithes and Offerings Fund (CTOF) Project Officer Report*

AF Form 4365*, Chapel Tithes and Offerings Fund (CTOF) Donation Log*

AF Form 4409*, Chapel Tithes and Offering Fund (CTOF) Monthly Self Assessment*

Adopted Forms

DD Form 577, *Appointment/Termination Record- Authorized Signature*

Standard Form 1094*, United States Tax Exemption Form*

Internal Revenue Service Form 1096*, Annual Summary and Transmittal of U.S. Information Returns*

Internal Revenue Service Form 1099-MISC*, Miscellaneous Income*

Internal Revenue Form W-8BEN*, Certificate of Foreign Status of Beneficial Owner for United States Tax Withholding and Reporting*

Internal Revenue Form W-9*, Request for Taxpayer Identification Number and Certification*

AF Form 847*, Recommendation for Change of Publication*

Abbreviations and Acronyms

AFI—Air Force Instruction

AFPD—Air Force Policy Directive

AMP—Annual Ministry Plan

CTOF—Chapel Tithes and Offerings Fund

DAFI—Department of the Air Force Instruction

DAFMAN—Department of the Air Force Manual

DAFPD—Department of the Air Force Policy Directive

DoD—Department of Defense

DoDI—Department of Defense Instruction

DRGL—Distinctive Religious Group Leader

DRU—Direct Reporting Unit

EFT—Electronic Funds Transfer

FAR—Federal Acquisition Regulations

FOA—Field Operating Agency

GPC—Government Purchase Card

GS—General Schedule

HC—Chaplain Corps

IRS—Internal Revenue Service

NAF—Non-Appropriated Funds

NCOIC—Non-commissioned Officer in Charge

PWS—Performance Work Statement

RST—Religious Support Team

USC—United States Code

Terms

Account Manager—An individual appointed to manage the base CTOF. They serve as the liaison between the base and the CTOF accounting section.

Annual Ministry Plan—A document approved by the supported Commander (typically a wing or garrison Commander) that projects resource expenditures, calendars of events, appropriated fund and CTOF budgets.

Approving Officials—Person responsible for the oversight of one or more cardholders.

Authorization—The process of verifying a purchase being made is within the established cardholder limits. The merchant receives authorization at the point of sale through the bank verification of the purchase card.

Authorized Person—A person approved or assigned by a supervisor to perform a specific duty or duties or to be at a specific location or locations at the job site.

Authorized User—Any appropriately cleared individual with a requirement to access a DoD information system in order to perform or assist in a lawful and authorized governmental function. Authorized users include DoD employees, contractors and guest researchers.

Best Value—The expected outcome of a procurement that, in the NAFI's estimation, provides the greatest overall benefit in response to the requirement.

Billing Cycle—The period of time, usually about 30 days, in which the bank posts all accumulated merchant charges or credits to cardholder accounts. The billing cycle period for the AF is from the 20th of each month through the 19th of the following month.

Business Day—Any day other than a Saturday, Sunday, legal holiday or a day on which national banks (where the lockbox agent or the corporate trust office of the Trustee is located) are authorized by law or executive order to close.

Chain of Command—For the purpose of this instruction, chain of command includes not only the succession of commanding officers from a superior to a subordinate through which command is exercised, but also the succession of officers, enlisted or civilian personnel through which administrative control is exercised including supervision and rating performance.

Continuity of Operations—The degree or state of being continuous in the conduct of functions, tasks, or duties necessary to accomplish a military action or mission in carrying out the national military strategy.

Contract Administration—A subset of contracting that includes efforts to ensure that supplies, services and construction are delivered in accordance with the terms and conditions of the contract.

Contract Dispute—A formal or informal claim, or issue in controversy involving an Air Force contract or contract award, for which a remedial process is authorized by law, regulation, or policy.

Contract Termination—The cessation or cancellation, in whole or in part, of work under a prime contractor or subcontract for the convenience of, or at the option of, the government, or due to failure of the contractor to perform in accordance with the terms of the contract.

Contracting Officer—A person authorized in writing, either by appointment or by position, to execute and administer contracts on behalf of a NAFI.

Contracting Officer Representative—A Service member or Department of Defense civilian or a foreign government civilian or military member appointed in writing and trained by a contracting officer, responsible for monitoring contract performance and performing other duties specified by their appointment letter.

Denomination—A particular religious body, with a specific name, organization, etc.

Ecumenical—Concerning the Christian faith group as a whole.

Electronic Funds Transfer—A process used to transfer payments of funds electronically. EFT is faster and more secure method of transferring funds versus using checks.

Faith Group—Body of people responsible for supporting a specific faith group doctrine.

Fiscal Year—A 12-month period at the end of which all accounts are completed in order to provide a statement of a company's, organization's, or government's financial condition, or for tax purposes. A fiscal year does not necessarily correspond to a calendar year. The federal fiscal year runs from October 1 of the prior year through September 30 of the next year.

Fixed Assets—Tangible items with an individual cost of $1,000 or more and with a life expectancy of two years or more, which do not lose their identity through use (includes items such as, furniture, equipment, tools, machinery, facilities, major repairs and improvements, etc.).

General Account—Used for interfaith services, programs and community relation activities.

Host Nation—A nation other than the U.S. that receives the force or supplies of allied nations or North Atlantic Treaty Organization, the former force or supplies to be located on, to operate in, or to transit through its territories.

In Support of—Assisting or protecting another formation, unit, or organization while remaining under original control.

Interfaith—Program involving persons adhering to different religions (major faith groups).

Internal Control—The organization, policies, procedures and instructions adopted by management to reasonably ensure mission or operational objectives are met and programs achieve intended results and to help managers safeguard the integrity of their programs. The concept of internal control applies to all Department of the Air Force activities.

Novation Agreement—Agreement of parties to a contract to substitute a new contract for the old one. It extinguishes (cancels) the old agreement. A novation is often used when the parties find that payments or performance cannot be made under the terms of the original agreements, or the debtor will be forced to default or go into bankruptcy unless the debt is restructured. While voluntary, a novation is often the only way any fund can be paid.

Program Leaders—Program leaders are volunteers, chaplains, religious affairs airmen, civil service civilian, NAF civilians, or contractors responsible for managing a specific religious program under chaplain supervision or Contractors selected to provide a specific service in support of Chaplain Corps religious programs.

Public Relations—Costs associated with Chaplain Corps publicity and public relations activities with the military community.

Ratification—Confirmation of an action which was not pre-approved and may not have been authorized, usually by a principal (employer) who adopts the act of his/her agent (employee).

Real Property—Land, buildings, structures, utility systems, improvements and appurtenances. Includes equipment attached to and part of buildings and structures, such as heating systems, but not movable equipment, such as plant equipment.

Religious Community—Chaplain Corps religious community that worships on base and is actively engaged in the development of the AMP.

Religious Entities—Religious corporations, associations, educational institutions, or societies.

Request for Proposal—A request made to suppliers which communicates NAFI requirements and solicits offers which can be accepted by the contracting officer to form a binding contract.

Resource Management Working Group—Serves as a coordinating and consulting body to discuss the balance among existing chapel programs and proposals for changes to those programs**.**

Social Media—An online social platform or site used to share information, communicate and build relationships with the public.

Statement of Account—A monthly listing of all purchases made by the cardholder and all credits returned by the Bank during the previous billing cycle. The statement appears on the Bank's web-based, electronic access system.

Performance Work Statement—The formal document that captures and defines the work activities, deliverables and timelines a vendor will execute against in performance of specified work for a client. Detailed requirements are usually included in the performance work statement, along with standard regulatory and governance terms and conditions.

Attachment 2

ITEMS MAINTAINED ON FIXED ASSET REPORT

Table A2.1. Items maintained on fixed asset report.

Items	Assets	Maintain on CTOF Fixed Asset Report	Do Not Maintain on CTOF Fixed Asset Report	May be added to the CTOF Fixed Asset Report at Request of Senior Installation Chaplain
1.	Fixed assets with a purchase price of $1,000 or more	X		
2.	Items with a purchase price of $500-$999 (see **note 1**)			X
3.	Items with a purchase price of less than $500 (see **note 2**)		X	

Note

1. If not added to the CTOF Fixed Asset Report, wing or garrison chaplains should consider maintaining a listing of these items for accountability purposes.

2. Wing or garrison chaplains should consider maintaining a listing of these items for accountability purposes, especially all items considered to be easily resalable on the open market.